

HOUSE BILL 2306

By Carringer

AN ACT to amend Tennessee Code Annotated, Title 66,
relative to restrictions on the use of property.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 66, Chapter 27, is amended by adding
the following as a new part:

66-27-901.

As used in this part:

- (1) "Care provider" has the same meaning as defined in § 71-3-501;
- (2) "Declaration" means an instrument, however denominated, that creates a homeowners' association, and amendments to that instrument, including restrictive covenants, bylaws, and similar instruments governing the administration or operation of a homeowners' association;
- (3) "Family child care home" has the same meaning as defined in § 71-3-501;
- (4) "Group child care home" has the same meaning as defined in § 71-3-501;
- (5) "Homeowners' association" means an incorporated or unincorporated association owned by, or whose members consist primarily of, the owners of the residential property covered by the declaration and through which the owners, or the board of directors or similar governing body, manage or regulate the residential subdivision; and
- (6) "Unit owners' association" has the same meaning as described in part 4 of this chapter.

66-27-902.

(a) If a current or prospective family child care home or group child care home obtains the necessary license from the department of human services and any necessary permits or license from the local government entities with jurisdiction over the location where the family child care home or group child care home is or is proposed to be sited, then any restrictions on the operation of a family child care home or group child care home that may be in a declaration applicable to the property where the family child care home or group child care home is or will be sited are void, of no effect, and must not be enforced by the homeowners' association or unit owners' association.

(b) A homeowners' association or unit owners' association that willfully violates this section is liable to the care provider for:

(1) Actual damages; and

(2) Punitive damages in an amount not to exceed one thousand dollars (\$1,000).

(c) This section applies to new declarations created, or existing declarations amended, on or after the effective date of this act.

SECTION 2. Tennessee Code Annotated, Title 66, Chapter 28, Part 3, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Family child care home" has the same meaning as defined in § 71-3-501;

(2) "Group child care home" has the same meaning as defined in § 71-3-501; and

(3) "Tenant-operator" means a tenant who operates a licensed family child care home or group child care home at the tenant's premises.

(b) A landlord shall not refuse to rent, refuse to negotiate the rental of, or otherwise make unavailable for rent to a current or prospective tenant a single-family or multifamily dwelling zoned for residential use, because the tenant operates or plans to operate a licensed family child care home or group child care home at the dwelling.

(c) A landlord may require a tenant or tenant-operator to:

(1) Provide notice when the tenant applies for a license to operate a family child care home or group child care home, and upon receipt of such license;

(2) Maintain liability insurance in an amount that provides the tenant-operator with reasonable protection against injury claims resulting from the tenant-operator's negligence or that of an employee;

(3) Add the landlord as an additional insured to the tenant-operator's business, rental, homeowner, or liability insurance policy;

(4) Refrain from making structural changes to the premises without the landlord's written permission and remove or reverse any such changes, at the landlord's request, before vacating the premises; or

(5) Abide by the landlord's reasonable restrictions on use of a multifamily property's shared space by the tenant's employees, guests, or clients.

(d) A landlord that willfully violates this section is liable to the tenant or tenant-operator for:

(1) Actual damages; and

(2) Punitive damages in an amount not to exceed one thousand dollars (\$1,000).

(e) This section applies to rental agreements entered into or amended on or after the effective date of this act.

SECTION 3. This act takes effect upon becoming a law, the public welfare requiring it.